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Case Number: 25TRCV03739 Hearing Date: July 8, 2026 Dept: P

Motion to Compel Arbitration and Stay Proceedings

Moving Party: Defendant Tesla, Inc.

Responding Party: None

RULING

The court considered the moving papers. Tesla's Motion to Compel Arbitration is GRANTED. The court STAYS proceedings pending completion of the arbitration process.

PROCEDURAL BACKGROUND

On October 31, 2025, Plaintiffs Vincent T. Vollucci and Maria M. Vollucci (collectively, "Plaintiffs") filed a complaint against Defendants Tesla, Inc. ("Tesla") and DOES 1 through 50, inclusive, alleging five causes of action for: (1) Violation of Song-Beverly Act – Breach of Express Warranty; (2) Violation of Song-Beverly Act – Breach of Implied Warranty; (3) Violation of Song-Beverly Act Section 1793.2; (4) Fraud; and (5) Unjust Enrichment.

On March 19, 2026, Tesla filed the instant motion.

FACTUAL BACKGROUND

Plaintiffs allege that on November 11, 2023, they purchased a 2023 Tesla Model S (the "Subject Vehicle"). (Complaint, ¶ 8.) Plaintiffs allege that they received various warranties from Tesla in connection with Plaintiffs' purchase of the Subject Vehicle. (Complaint, ¶ 9.) Plaintiffs allege that the Subject Vehicle was delivered to them with serious defects and nonconformities to warranty and later developed additional defects and nonconformities to warranty. (Complaint, ¶ 10.) Plaintiffs specifically allege that the Subject Vehicle was delivered to Plaintiffs with a faulty high voltage cable that caused damage to the Subject Vehicle's battery, resulting in the battery range degrading rapidly. (Complaint, ¶¶ 11-12.) Plaintiffs allege that they delivered the Subject Vehicle to an authorized Tesla repair facility, but Tesla was unable to conform the Subject Vehicle to the applicable warranty after a reasonable number of repair attempts. (Complaint, ¶¶ 35-36.)

LEGAL STANDARD

Parties may be compelled to arbitrate a dispute upon the court finding that: (1) there was a valid agreement to arbitrate between the parties; and (2) said agreement covers the controversy or controversies in the parties' dispute. (Code Civ. Proc. Section 1281.2.) California law favors enforcement of valid arbitration agreements. (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 97.) A party petitioning to compel arbitration has the burden of establishing the existence of a valid agreement to arbitrate and the party opposing the petition has the burden of proving, by a preponderance of the evidence, any fact necessary to its defense. (*Banner Entertainment, Inc. v. Superior Court* (1998) 62 Cal.App.4th 348, 356-357.)

The Federal Arbitration Act ("FAA") applies to any contract evidencing a transaction involving interstate commerce which contains an arbitration clause. (*Wolls v. Superior Court* (2005) 127 Cal.App.4th 197, 211.) Section 2 of the FAA provides that arbitration provisions shall be enforced, save upon grounds as exist at law or in equity for the revocation of any contract. (*Ibid.*) A state court may refuse to enforce an arbitration clause on the basis of generally applicable contract defenses, such as fraud, duress, or unconscionability. (*Ibid.*) A state court, however, may not defeat an arbitration clause by applying state laws applicable only to arbitration provisions. (*Ibid.*)

For the FAA to apply, a contract must involve interstate commerce. (*Ibid.*) When it applies, the FAA preempts any state law rule that stands as an obstacle to the accomplishment of the FAA's objectives. (*Carbajal v. CWPSC, Inc.* (2016) 245 Cal.App.4th 227, 238.) A party asserting FAA preemption bears the burden to present evidence establishing a contract with the arbitration provision affects interstate commerce, and the failure to do so renders the FAA inapplicable. (*Ibid.*) Evidence must be presented, in the form of declarations or other evidence, that establishes that the contract affects interstate commerce. (*Ibid.*) "[S]ince arbitration is a matter of contract, the FAA also applies if it is so stated in the agreement." (*Davis v. Shiekh Shoes, LLC* (2022) 84 Cal.App.5th 956, 963.)

"On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: (a) the right to compel arbitration has been waived by the petitioner; or (b) grounds exist for the revocation of the agreement." (Code Civ. Proc. Section 1281.2(a-b).) Thus, in assessing a motion to compel arbitration, the moving party "bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, and a party opposing the [motion] bears the burden of proving by a preponderance of the evidence any fact necessary to its defense." (*Giuliano v. Inland Empire Personnel, Inc.* (2007) 149 Cal.App.4th 1276, 1284, citation omitted.)

"If a court of competent jurisdiction . . . has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies." (Code Civ. Proc. Section 1281.4.)

DISCUSSION

Moving Party's Argument

Tesla argues that when Plaintiffs ordered the Subject Vehicle from Tesla, they agreed to be bound by the Motor Vehicle Order Agreement ("MVOA") which contains a binding arbitration provision. Tesla argues that Plaintiffs' claims fall within the scope of the MVOA's arbitration clause because they arise directly out of the relationship between Plaintiffs as purchasers and Tesla as the manufacturer, retailer, warrantor, and repair facility.

Request for Judicial Notice

Tesla requests that the court take judicial notice of the complaint filed by Plaintiffs. The court may take notice of its own records pursuant to Evidence Code Section 452(d).

Accordingly, Tesla's request for judicial notice is GRANTED.

Merits of the Motion

A. Existence of a Valid Arbitration Agreement

The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code of Civ. Proc. Section 1281.2.) This is usually done by presenting a copy of the signed, written agreement to the court. "A petition to compel arbitration or to stay proceedings pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration. The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference." (Cal. Rules of Court, rule 3.1330.)

In support of its motion, Tesla submits the Declaration of Raymond Kim ("Kim"), a manager of business resolution for Tesla. (Kim Decl., ¶ 2.) Kim declares that when Plaintiffs ordered the Subject Vehicle, they agreed to be bound by the terms and conditions of the MVOA, which included an arbitration agreement. (Kim Decl., ¶ 3.) Kim further declares that Plaintiffs placed the order for the Subject Vehicle by clicking a button that read "Place Order" on Tesla's website, and Plaintiffs would not have been able to place their order without clicking this button or authorizing someone to do so on their behalf. (Kim Decl., ¶ 4.) Kim declares that before placing their order, Plaintiffs "would see text and be advised that Plaintiffs are agreeing to the [MVOA's] terms and conditions. There would be a hyperlink to the [MVOA] terms and conditions that the Plaintiffs could click on and view prior to proceeding with the order." (Kim Decl., ¶ 4.) Kim declares that if Plaintiffs clicked on the hyperlink, a new window would have appeared, showing the terms of the MVOA. (Kim Decl., ¶ 4.) Kim declares that the second page of the MVOA contains an arbitration provision, and while the MVOA allows a customer to opt out of the arbitration agreement by sending a letter to Tesla expressing the customer's intent to do so, Plaintiffs did not opt out. (Kim Decl., ¶¶ 5, 7.)

A "clickwrap agreement one in which an internet user accepts a website's terms of use by clicking an 'I agree' or 'I accept' button, with a link to the agreement readily available— is generally enforceable..." (Herzog v. Superior Court (2024), 101 Cal.App.5th 1280, 1286.) However, "in order to establish mutual assent for the valid formation of an internet contract, a provider must first establish the contractual terms were presented to the consumer in a manner that made it apparent the consumer was assenting to those very terms when...clicking on a button." (Id. at 1294.)

Here, the MVOA constitutes a "clickwrap" agreement because customers are required to place an order for one of Tesla's vehicles by "clicking a button," signifying the customer's agreement with the terms and conditions of the MVOA. (Kim Decl., ¶ 4.) Along with the button appears a hyperlink to allow the customers to read the terms of the MVOA before pressing the "Place Order" button. (Kim Decl., ¶ 4.) Further, the title of the "Agreement to Arbitrate" found within the MVOA appears in bold and instructs buyers to "carefully read this provision." (Kim Decl., ¶ 7; Exh. 1, p. 4.) The MVOA's arbitration provision additionally provides customers with the option to opt out and states that if the customer does not opt out, then the MVOA's arbitration provision overrides any different arbitration agreement between the parties. (Kim Decl., ¶ 7; Exh. 1, p. 4.) Kim declares that Plaintiffs did not opt out of the MVOA's arbitration agreement. (Kim Decl., ¶ 5.)

Regarding scope, the MVOA's arbitration provision states that the parties agree to arbitrate "any dispute arising out of or relating to any aspect of" the relationship between Plaintiffs and Tesla. (Kim Decl., ¶ 7; Exh. 1, p. 4.) The court finds that the MVOA's arbitration provision covers the present dispute between the parties, because Plaintiffs' causes of action arise out of the relationship between Plaintiffs as the purchasers of the Subject Vehicle and Tesla as the manufacturer and warrantor.

The court finds that Tesla has met its burden of establishing that an arbitration agreement exists between the parties. Further, the language of the MVOA's arbitration provision is broad enough to cover the dispute at hand. Next, the burden shifts to Plaintiffs to establish any facts necessary to show that the agreement should not be enforced.

B. Grounds for Compelling Arbitration

The court has previously concluded that Tesla has met its burden of proving that an arbitration agreement exists between the parties, and Plaintiffs' claims fall within the scope of the language of the MVOA's arbitration provision. Given that Tesla's motion is unopposed, Plaintiffs have not established by a preponderance of the evidence any fact necessary to their defense.

Accordingly, Tesla's Motion to Compel Arbitration is GRANTED.

C. Stay of Proceedings

Code of Civil Procedure Section 1281.4 provides that if the court has ordered the arbitration of a controversy, it "shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies."

Therefore, pursuant to Code of Civil Procedure Section 1281.4, the court STAYS this action pending conclusion of the arbitration proceedings.

CONCLUSION

Based on the foregoing, Tesla's Motion to Compel Arbitration is GRANTED. The court STAYS the proceedings pending conclusion of the arbitration process.

Moving party is ordered to give notice of ruling.